

FRVO

FRVO N/A

Buy	\$37.03 ▼ 4.71%	12M Price Target \$48.00	52-Week Range \$34.27 – \$42.65	Market Cap \$10.89B
-----	-----------------	-----------------------------	------------------------------------	------------------------

FRVO: Post-IPO Consolidation; Reiterate Buy on Geothermal-AI Tailwind

WHAT'S CHANGED

- FRVO down -4.71% to \$37.03 on light volume (1.22M vs 5-day avg ~2.5M), giving back gains after intraday peak of \$39.97 on 6/03; stock now sits at 33% of 52-week range, suggesting post-IPO digestion phase rather than fundamental deterioration.
- Bearish near-term options skew with P/C ratio of 2.73 and unusual June \$35 put activity (2,016 contracts, 7.0x OI, \$453.6K notional) signals downside hedging into lockup/earnings uncertainty.

IMPLICATIONS

The WSJ and Barron's coverage framing geothermal as the "winning" energy IPO category — combined with Fervo's 42% IPO pop tied explicitly to AI power demand — confirms FRVO is the marquee public vehicle for the enhanced geothermal/hyperscaler thesis, supporting premium multiple persistence despite negative earnings. However, today's pullback and bearish options flow indicate the easy post-IPO momentum trade is fading; the stock now needs fundamental catalysts (PPA announcements, Cape Station milestones) to re-rate higher. Utilities sector flat (+0.86% 1D, -0.23% 5D) means FRVO is trading on idiosyncratic AI-power narrative rather than sector beta.

VALUATION

At \$10.89B market cap on ~\$285M FY26E revenue, FRVO trades at ~38x forward EV/Revenue — rich versus traditional IPPs (2-4x) but justified by ~80%+ projected revenue CAGR and scarcity premium as the only pure-play public EGS developer. Our \$48 base PT implies ~30% upside and ~50x FY26E sales, contracting to ~27x FY27E as Cape Station capacity ramps. Multiple compression risk is real if AI capex narrative cools or drilling unit economics disappoint at scale.

KEY RISKS

- IPO lockup expiration (typically 90-180 days post-May listing) creates technical overhang into Q3/Q4 2026.
- Execution risk on Cape Station Phase II drilling — EGS cost curve unproven at gigawatt scale; any cost overrun materially impacts LCOE narrative.
- Hyperscaler PPA concentration risk; loss or renegotiation of Google/anchor offtake agreements would compress multiple severely.

RECENT NEWS

A Hot IPO Lifts Geothermal Power Companies The Wall Street Journal · 2026-05-25 21:17
Energy IPOs Are Back. The Winners Have One Thing In Common. Barrons.com · 2026-05-18 09:55

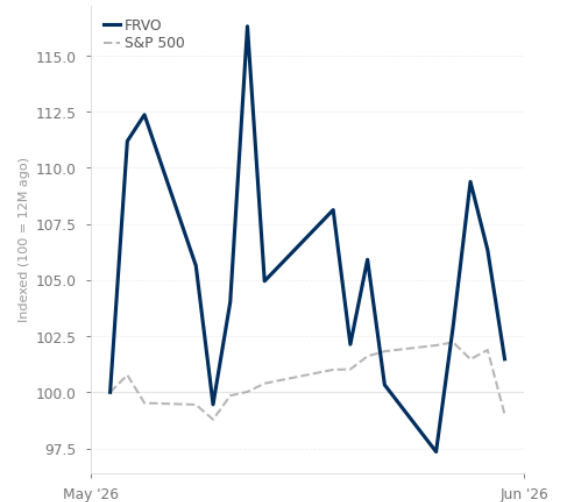
Key Data

Price (USD)	\$37.03
12M Price Target	\$48.00
Upside / (Downside)	+29.6%
Market Cap	\$10.89B
FY2026E Revenue	\$285M
FY2027E Revenue	\$520M
FY2026E EPS	(\$1.85)
FY2027E EPS	(\$1.20)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$42.00	\$38.00	\$33.00
6 Months	\$52.00	\$44.00	\$30.00
1 Year	\$65.00	\$48.00	\$28.00
2 Years	\$85.00	\$60.00	\$25.00
5 Years	\$150.00	\$95.00	\$22.00
10 Years	\$280.00	\$160.00	\$18.00

SECTOR INTELLIGENCE

HOT SECTORS: Consumer Staples (+2.16% 1D), Healthcare (+2.55% 5D)

COLD SECTORS: Industrials (-1.35% 1D), Utilities (-0.23% 5D)

ROTATION WATCH: Defensive rotation into Staples/Healthcare suggests risk-off tone, which pressures speculative growth IPOs like FRVO near-term; however, structural AI power demand thesis is decoupled from cyclical sector rotation.

BYPRODUCT PLAY: Drilling services (oilfield crossover beneficiaries like NBR, HP), specialty steel/casing suppliers, and grid interconnect/transmission names benefit from EGS build-out regardless of which geothermal developer wins.

OUTPERFORMERS & PEER CONTEXT

- ORA (Ormat Technologies): Established geothermal incumbent — benefiting from sector re-rating halo effect from FRVO IPO, though slower growth profile.
- CEG (Constellation Energy): Nuclear-AI power play trading at premium multiple — direct read-through for FRVO's hyperscaler-power thesis validation.

FRVO CONTEXT: FRVO is the highest-beta expression of the AI-power-scarcity trade; recent 5-day action (+4% from \$35.57 low) shows it leading peers on up days but giving back faster on risk-off, consistent with newly-public, low-float dynamics. Still pulling away from legacy IPPs on narrative but lagging CEG-style profitable AI-power plays.

INVESTMENT STRATEGY

7/10 Conviction Score

Position Size: 2-3% of portfolio

Entry Points: \$34-36 on pullbacks toward 52W low

Time Horizon: 12-24 months

Thesis Invalidation: Loss of hyperscaler PPA, drilling cost overruns >20%, or capital raise at <\$30

Hedging: Long XLU or pair vs. legacy IPP short; protective Jul \$32 puts